

**PUBLIC VERSION
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Docket No. 16-02

**RESPONDENT'S REPLY ON ITS
MOTION FOR A SUMMARY DECISION**

THE FEDERAL MARITIME COMMISSION
800 North Capitol Street, NW, Washington, D.C.

D. F. YOUNG, INC.,
Complainant,
v.
NYK LINE (NORTH AMERICA) INC.,
Respondent.

DOCKET NO. 16-02

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MOTION FOR A SUMMARY DECISION**

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**RESPONDENT'S OPPOSITION TO
COMPLAINANT'S MOTION FOR
SUMMARY JUDGMENT**

PRELIMINARY STATEMENT

- A.** For the sake of simplicity, NYK has based its summary decision motion solely on the ground that, as a matter of law, DFY has no right to freight forwarder compensation under Tariff NYKS-156, Rule 9. *See, NYK's Motion, p. 5, Section G.*
- B.** In doing so, NYK did not and does not concede that DFY has met the requirements of 46 C.F.R. 515.42(c). *Id.*
- C.** NYK moved only on Tariff Rule 9 because it presents a cleaner, simpler issue in that:
1. DFY bases its compensation claim solely on Rule 9, and not on any contract.
 2. If the Rule is unambiguous as NYK says, then its construction presents a question of law.

3. And if that question is answered in NYK's favor, then the case is resolved without the ALJ having to evaluate the factual and legal questions of what freight forwarding services DFY rendered and whether they satisfy Reg. 515.42(c).

D. Therefore, this Reply will not address any allegations made by DFY in connection with Reg. 515.42(c). NYK refers the ALJ to its Opposition to DFY's Summary Judgment Motion for NYK's defenses on those matters.

ARGUMENT

POINT 1

DFY'S INTERPRETATION OF TARIFF RULE 9 IS WITHOUT MERIT UNDER THE APPLICABLE RULES OF CONSTRUCTION APPLIED TO ALL DOCUMENTS.

1. The following is an excerpt from Tariff Rule 9. We have emboldened three terms.

The compensation which is paid under this rule shall be on the gross freight. The **gross freight** includes **the tariff rate** and Heavy Lift and Extra Length Charges, **if applicable**, but shall not, for the purpose of computing compensation, include charges assessed for containerization of cargo, container rental fee, war risk compensation, port surcharges, port detention charges, demurrage, bunker surcharges, port arbitraries, harbor dues or any other charge or surcharge designed to cover specific costs. Compensation will not be paid on any shipment on which brokerage is payable.

RX-26.

2. DFY makes the following three arguments as to why the bold print language above makes Rule 9 applicable to service contract rates.
 - (a) First, as DFY sees it, the phrase “if applicable” refers back to “the tariff rate” and means that the tariff rate might not be the applicable one. That would open Rule 9 to applying service contract rates.
 - (b) Second, “gross freight means what has actually been collected from Ford, which would include the service contract rates.
 - (c) Finally, DFY believes “tariff rate” should be read to include service contract rates, otherwise
 - (i) It would give the word “tariff” a “strange new alternate” meaning; and
 - (ii) By failing to define “tariff” not to include “service contract,” Rule 9 violates 46 C.F.R. 520.7 which requires tariffs to be “clear and definite;” and
 - (iii) Ambiguities in tariff language are construed against the carrier.

A. “If applicable” does not refer to the “tariff rate”

3. With respect to DFY’s “if applicable” argument:

- (a) The language of a document must be interpreted in context and as a whole. Cherry picking words and phrases is not allowed. *Gonzalez-Vera v. Townley*, 595 F. 3d 379, 383 (D.C. Cir.) cert. den. 562 U.S. 896 2010).
- (b) To pass muster, an interpretation may not be commercially unreasonable or contrary to reasonable expectations. See *Newmont Mines Ltd. v. Hanover Ins. Co.*, 784 F.2d 127, 135, para. 1 (2d Cir.1986).
- (c) It is obvious from its placement in the middle of a recitation of the applicable and inapplicable tariff *charges* that the phrase “if applicable” refers to charges and not the tariff rate. A tariff move will always be subject to a tariff rate, but not every tariff move will incur all possible tariff charges.
- (d) It makes no sense to suppose that the Rule 9 draftsman felt compelled to expressly include “tariff” rates in a tariff rule—(where else would tariff rates be found?)—but left service contract rates (which have nothing to do with tariffs) to be somehow implied. See, *Chem. Mfrs. Ass’n v. F.M.C.*, 900 F.2d 311, 315 (D.C. Cir. 1990) (Service contracts are not rate or service items required to be filed in a tariff).
- (e) Assuming for argument’s sake that “if applicable” does refer back to “tariff rate,” it does not follow that service contract rates would be resorted to. It could also (and more readily) mean that, absent tariff

rates, no compensation would be paid based on freight—in which case DFY still has no right to compensation.

4. DFY's interpretation that service contract rates are implied in Rule 9 is also legally as well as factually insufficient. If, by law:
 - (a) Tariff interpretation is governed by the *express language* of the tariff rather than any unexpressed intent, [*S.A. Chiarella v. Pacon Expr.*, 2001 WL 1085424, *3 (F.M.C. 2001) (Emphasis added)]; and
 - (b) No licensed freight forwarder is allowed to accept compensation from a common carrier which is different from that *specifically provided for* in the carrier's effective tariff, [46 C.F.R. 515.42(d) (Emphasis added)],then "if applicable" is ineffective to transform *the absence* of any reference to service contracts/rates in Tariff 9 into their express and specific presence.

**B. The terms "gross freight" and "tariff rates"
do not include service contract freight/rates**

5. DFY's argues that the "gross freight, as used in Rule 9, means what has actually been collected from Ford—which would be service contract freight rates. However, that interpretation violates the rules of construction set out at para. 3(a-b) above. The meaning of "gross freight" cannot be arrived at by taking it out of context and disregarding the words immediately following that define "gross freight" in terms of tariff rates.

6. With respect to DFY's argument that the term "tariff rate" necessarily includes service contract rates:
- (a) The Commission's web site states the obvious when it says that, "Service contracts offer an *alternative* to transportation under tariff terms."
- See, *NYK's Motion at ADDENDUM 1 (Emphasis added)*;
 - See also, *Black's law Dictionary*, p. 78 (6th ed. 1991) ("Alternative" means *one or the other* of two things).
- (b) While shippers and carriers are allowed to incorporate tariffs into their service contracts, [*Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Dkt. No. 13-07, p. 30 (04/17/14)], service contracts are not read into tariffs and they do not supplement tariffs. *Id. at POINT 2*.
- (c) To be ambiguous, language must be capable of more than one meaning when viewed objectively by a reasonably intelligent person who is cognizant of the customs, practices, uses, and terminology as generally understood in the particular trade or business. *Seiden Associates, Inc. v. ANC Holdings, Inc.*, 959 F.2d 425, 428 (2d Cir. 1992).
- (d) It is impossible to imagine anyone familiar with the regulatory aspects of ocean shipping looking at the term "tariff rate" (which is non-negotiable and published) and understanding it to include service contract rates (which are negotiated and confidential). See also, *Chem. Mfrs.*, *supra*,

(Service contracts are not rate or service items required to be filed in a tariff).

POINT 2

DFY HAS MISINTERPRETED NYK's DEFENSE, AND AS A RESULT, HAS PUT FORTH ARGUMENTS THAT ARE IRELEVANT TO THE QUESTIONS RAISED BY THIS MOTION.

A. DFY's misinterpretation of NYK's defense

7. Apart from its argument on how Rule 9 should be interpreted, DFY spends the rest of its opposition brief arguing against a defense that NYK has not raised.
8. The basis for NYK's summary decision motion can be summed up as follows:
 - (a) NYK's Tariff Rule 9 grants freight forwarder compensation based on the "gross freight" which is explicitly defined to include the "tariff rate" and applicable charges. *RX-26*.
 - (b) All of the underlying Shipments were pursuant to one of the Ford Service Contracts.
 - (c) Tariff Rule 9 does not *specifically provide for*—or even mention—service contract rates. *RX-26*.
 - (e) A forwarder is prohibited from accepting compensation not *specifically provided for* in the tariff. 46 C.F.R. 515.42(d).

(f) If DFY has no *tariff* right to compensation, then it can recover only if it shows some *contractual* right. *See, NYK's Motion, Addendum 3 (unnumbered paras. 1 and 2).*

(g) Not only has DFY shown no contractual right, it has explicitly disclaimed any. [REDACTED]

(h) [REDACTED]
[REDACTED]
[REDACTED]

(i) Consequently, DFY has no tariff or contractual right to forwarder compensation even if it complied with 46 C.F.R. 515.42(c).

9. However, DFY's opposition describes an entirely different defense—one that NYK has never asserted. DFY misinterprets NYK's defense to be that [REDACTED]

[REDACTED]
[REDACTED]

[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]

[REDACTED]
[REDACTED]

[REDACTED]

And, within the space of ten pages of DFY's opposition, [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

10. However, those are *not* fair readings of NYK's defense or of Ford's Service Contract. *See, para. 7, above; see also, RX-24 (Fourth Affirmative Defense).* Yet, DFY spends nearly its entire opposition knocking down that straw man.
11. In fact, NYK has argued in both of its prior briefs that carrier tariffs such as Rule 9 *cannot* be varied or enlarged by carrier contracts. *See:*
 - *NYK's Motion, p. 18, para. 49;*
 - *NYK's Opp., p. 6, para. 16 (2d Bullet Point).*
12. The problem for DFY is that it never acquired any right to compensation under Rule 9, [REDACTED]

[REDACTED]

B. DFY's 'tariff publication' argument

13. DFY's misinterpretation of NYK's defense leads it to raise arguments that have nothing to do with the issues raised by NYK's motion.

14. The first of these is what we call, the ‘tariff publication’ argument. This argument has two possible meanings, but we are unclear as to which one DFY intends.

(a) One is that, having published Rule 9 in its Tariff, NYK is obligated to honor the Rule and cannot defeat that obligation [REDACTED]
[REDACTED] If that is what DFY means, then its argument misses the point. DFY’s problem is that NYK never had any such obligation to defeat.

(a) DFY does not qualify for compensation under Rule 9 as written because Rule 9 applies only to tariff moves. So DFY has no *tariff* right to compensation.

(b) Without a *tariff* right to compensation, DFY can recover only if it shows a *contractual* right. However:

(i) DFY alleges no direct contract with NYK.

(ii) [REDACTED]
[REDACTED]

(iii) [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

So, DFY has no *contractual* right to compensation, either.

- (b) Second is that by publishing a tariff rule [Rule 9] dealing with forwarder compensation [REDACTED]

[REDACTED]

[REDACTED] If that is what DFY means, we must respectfully part company for the following reasons.

- (1) Tariffs (Part 520) and Service Contracts (Part 530) are separate regimes. Each has its own independent provision for [REDACTED]

[REDACTED]

■ [REDACTED]

■ [REDACTED]

Likewise the service contract Regulations governing exempt commodities are different than the tariff Regulations governing exempt commodities including that the service contract regulations in Part 530 do not require a carrier to state the level of freight forwarder compensation while the tariff regulations do. 46 CFR 520.4(a)(3).

- (2) Rule 9, by its terms, applies to tariff rates, not service contracts or their rates.

- (3) Rule 9 does not apply just to automobile cargoes. It applies to all tariff RoRo cargoes of which automobiles are just one classification.
 - (4) If the Ford Service Contracts became subject to Part 520, then the contracts and their rates—which are supposed to be confidential—would have to be published. Compare 46 C.F.R. 530.4 and 530.12 (a). Moreover, even if the essential terms had to be published, NYK’s essential terms tariff provides that freight forwarder compensation will be as provided in individual service contracts [*see ADDENDUM*] in which case DFY would still not be entitled to compensation since the Ford Service Contracts contained no forwarder compensation language.
 - (5) By DFY’s logic, no carrier could offer both tariff and service contract carriage for the same commodity. In DFY’s scenario, if a carrier published a tariff rate for a commodity which was also the subject of negotiated service contracts, then the service contracts would somehow become subject to Part 520. We know of no legal support for that argument and DFY cites none.
- (c) DFY contends that the terms of a service contract deemed “essential” are those that describe the “cost of the transport.” Clearly that is *not* the

case. See, 46 C.F.R. 530.12(a) which limits the essential terms to the port ranges, commodities involved, the minimum volume and the duration.

C. NYK's 'Admissions'

15. As in its own motion for summary judgment, DFY argues that NYK's service contract defense is a contrivance that was not put forth until NYK's amended answer and is one that even NYK does not believe.

Of course, it seems that NYK forgot it had this vital "Service Contract Defense" when it answered DFY's Complaint. NYK hasn't acted in any manner consistent with an entity that believes it has particular contractual defense. Here rather, its actions demonstrate an entity that knows it doesn't have one. You don't ask, at arm's length negotiation, a person to waive a right that you know that a person doesn't have.

DFY's Motion, p. 8, para. 3; see also p.12, para. 12.

16. NYK disagrees for the following reasons:
- (a) As explained above, NYK does not allege a *contractual* defense. It alleges a *tariff* defense—that DFY's claimed forwarder compensation based on service contract rates is not *specifically provided* for by Rule 9 which speaks only of tariff rates. See, Reg. 515.42(d)
 - (b) Assuming NYK believed precisely what DFY contends, it is irrelevant. If as NYK alleges, Rule 9 is unambiguous, then the express language of that Rule governs notwithstanding any contrary statements, acts, or beliefs of its personnel. See, *NYK's Opp., POINT 2.*

17.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

(a) In fact, DFY did not render the same services. *RX-179:10-25; RX-199:5 to RX-200:6.*

(b) [REDACTED]

[REDACTED]. On April 21, 1998, U.S. Senator Kay Bailey Hutchinson, the lead OSRA sponsor, told the Senate:

Mr. President, for the record, I now want to explain some of the key provisions of S. 414.

* * *

It eliminates the current restrictions on individual common carriers engaging in discriminatory, preferential, or advantageous treatment of shipper *and ocean transportation intermediaries in service contracts*

144 Cong. Rec. S3306, Ocean Shipping Reform Act of 1997. (Emphasis added).

D. The 2001 Interim Report

18. DFY cites to the Commission's 2001 Interim Report which says:

Congress may wish to clarify whether . . . the level of freight forwarder compensation *paid* for shipments moving under a service contract may be different from the level compensation paid for shipments rated according to a tariff rate. *That is, did Congress intend that parties to a service contract be permitted to negotiate the level of freight forwarder compensation to be paid on shipments moving under the service contract?*

DFY's Opp., p. 25 (*Emphasis added*). We agree with DFY that this is not an issue here.

19. If DFY has been clear about anything, it is that there is nothing in the Ford Service Contracts which purported to grant or waive forwarder compensation.

[REDACTED]

[REDACTED]

[REDACTED]

20. Moreover, this is not a case in which the forwarder (DFY) was “paid” something other than the tariff rate. DFY was paid nothing because it did not meet the requirements of Rule 9 needed to win compensation.

CONCLUSION

21. We submit that NYK’s motion showed as a matter of law that DFY is not entitled to freight forwarder compensation under the unambiguous wording of Tariff NYKSA-156, Rule 9.
22. If so, then to avoid a summary decision against it, DFY needed at least to raise an issue of fact as to whether Rule 9 applies to grant forwarder compensation in respect of service contract shipments. It has not done so.
23. Its proposed interpretations violate the principles of document construction and are unsupported by the Rule’s express language.

NYK’s motion should be granted.

Dated: White Plains, NY, February 6, 2017

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ADDENDUM

Tariff Code	NYKS-199		
Tariff Name	NYK Contract Essential Terms Tariff		
Effective Date	2016-04-11	Publish Date	2016-03-11
Rule No.	9	Rule Name	FREIGHT FORWARDER COMPENSATION

Applicable as provided in individual Service Contracts.

Organization	NYK LINE (NORTH AMERICA) INC		
Tariff Code	NYKS-199		
Tariff Name	NYK Contract Essential Terms Tariff		
Effective Date	2016-04-11	Publish Date	2016-03-11
Rule No.	9-A	Rule Name	COMMISSION FOR SC1203022

Westbound

Wines, Spirits and alcoholic beverages, Beer / Cider, NOS
(Incl Energy drinks out of Hamburg)

All Ports

20'DV \$200
40'DV \$200
40'HCD \$200
40'rf & 40'hc \$200

Eastbound

Wines, Spirits and Alcoholic Beverages Origins Los Angeles,
Oakland and Seattle

20'DV \$100
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